

Foreign Trade Policy

1. Export–Import Policy of India

Export–Import Policy refers to the policy adopted by the Government of India to regulate, promote and facilitate the export and import of goods and services. It establishes the framework within which international trade activities are conducted. The policy provides rules, procedures, incentives, restrictions and institutional arrangements governing India's foreign trade. It works as an important instrument for economic development by encouraging exports, supporting industries and ensuring availability of essential imports.

The Foreign Trade (Development and Regulation) Act, 1992 provides the legal framework for regulation and development of foreign trade in India. The Central Government is empowered to facilitate imports and increase exports through suitable trade policies.

2. Definition of Commercial Policy

According to Michael G. Plummer, commercial policy is the field dealing with national policies that influence international trade and investment flows.

Commercial policy includes government decisions relating to:

- Export promotion measures.
- Import regulations.
- Trade restrictions.
- Foreign exchange management.
- International trade agreements.

Thus, foreign trade policy acts as a bridge between domestic economic activities and the global market.

3. Objectives of Export–Import Policy

The major objectives of India's Export–Import Policy are:

1. Promotion of Exports:

The policy aims to increase exports of goods and services and expand India's share in world trade.

2. Facilitation of Imports:

Imports of essential raw materials, advanced technology, machinery and capital goods are encouraged to support domestic production.

3. Foreign Exchange Earnings:

Higher exports generate foreign exchange and help maintain a favourable balance of payments.

4. Economic Growth:

Foreign trade contributes to production expansion, income generation and overall economic development.

5. Employment Generation:

Export-oriented industries, MSMEs, artisans and service providers create employment opportunities.

6. Improvement in Competitiveness:

The policy encourages better quality, productivity and international competitiveness.

7. Ease of Doing Business:

Procedures are simplified through digital systems, paperless approvals and reduced transaction costs.

8. Remission of Taxes and Duties:

Taxes and duties embedded in exported products are refunded to make Indian exports competitive.

9. Export Promotion Through Cooperation:

Exports are promoted through cooperation among exporters, governments, district administrations, Indian missions abroad and export promotion organisations.

10. Districts as Export Hubs:

Products with export potential are identified at district level and local producers receive support.

11. Promotion of E-Commerce Exports:

Small businesses, artisans and MSMEs are encouraged to access international markets through online platforms.

12. Regulation of Foreign Trade:

Imports and exports may be restricted for national security, public health, environmental protection and international obligations.

Foreign Trade Policy 2023

Foreign Trade Policy (FTP) 2023 is a policy framework issued by the Government of India to promote exports, regulate imports, simplify trade procedures and increase India's participation in global trade. FTP 2023 was launched on 31 March 2023 and became effective from 1 April 2023. It replaced FTP 2015–2020. Unlike earlier policies based on a fixed five-year cycle, FTP 2023 follows a dynamic and continuous improvement approach. It is issued by the Ministry of Commerce and Industry and implemented by the Directorate General of Foreign Trade (DGFT).

Vision and Objectives of FTP 2023

Vision:

To make India a global hub for trade and achieve higher export growth.

Major objectives:

- Increase India's exports.
- Reduce transaction costs.
- Promote ease of doing business.
- Encourage MSME exporters.
- Develop districts as export centres.
- Promote e-commerce exports.
- Encourage technology-based trade systems.

Four Pillars of FTP 2023

FTP 2023 is based on four important pillars:

Pillar 1: Incentive to Remission

The policy moves away from traditional incentives and focuses on remission of duties and taxes through schemes such as RoDTEP and RoSCTL.

Pillar 2: Export Promotion Through Collaboration

The policy encourages cooperation among exporters, states, district administrations, Indian missions abroad and Export Promotion Councils.

Pillar 3: Ease of Doing Business

Digital processing, online authorisations, electronic documentation and reduced compliance requirements are promoted.

Pillar 4: Emerging Areas

FTP 2023 focuses on e-commerce exports, high technology exports, SCOMET policy, district export development and green technology products.

Main provisions of Exim policy

1. RoDTEP Scheme

RoDTEP stands for Remission of Duties and Taxes on Exported Products.

The core purpose of RoDTEP is to refund non-creditable central, state and local duties, taxes and levies incurred during production and distribution of exported goods which are not reimbursed through other mechanisms.

Objectives:

- Ensure exported products carry zero domestic taxes.
- Improve international price competitiveness.
- Reduce the burden of hidden taxes on exporters.

Mechanism:

The refund is credited to the exporter's digital ledger through transferable electronic scrips (e-scrips). These can be used for payment of basic customs duties.

Coverage:

The scheme covers a broad range of export sectors.

2. RoSCTL Scheme

RoSCTL stands for Rebate of State and Central Taxes and Levies.

The scheme reimburses embedded state and central taxes accumulated in apparel and textile manufacturing supply chains.

Target sectors:

- Garments.
- Made-ups.
- Textile products.

Objectives:

- Support labour-intensive textile industries.
- Reduce production costs.
- Improve competitiveness against global textile producers.

Covered taxes include state costs such as electricity duty, VAT on fuel and stamp duties, along with central costs such as central excise duty on fuel used in transportation.

Benefits are issued through duty credit scrips.

3. Status Holder Export Performance (FTP 2023)

A Status Holder is an exporter who has achieved a certain level of export performance and is recognised by the Directorate General of Foreign Trade (DGFT).

The government gives special recognition to such exporters because they contribute significantly to India's export growth.

Export Performance Requirement:

Status Holder recognition is based on the export performance achieved during the previous three financial years plus the current year (up to the previous month).

The export performance is measured in terms of Average Export Performance (FOB value).

Categories of Status Holders:

Status	Minimum Export Performance (FOB Value)
One Star Export House	3 million US Dollar
Two Star Export House	15 million US Dollar
Three Star Export House	50 million US Dollar
Four Star Export House	200 million US Dollar
Five Star Export House	800million US Dollar

Benefits of Status Holder Recognition:

- Priority treatment from DGFT.
- Simplified export procedures.
- Self-certification facilities.
- Exemption from certain inspections.
- Faster customs and trade-related approvals.
- Encourages exporters to expand international business.

3. Advance Authorisation Scheme

Advance Authorisation allows duty-free import of inputs used in manufacturing export products.

Purpose:

- Reduce input costs for exporters.
- Provide access to required raw materials.
- Improve export competitiveness.

Benefits:

- Import of raw materials without payment of customs duty.
- Support export-oriented manufacturing.

4. EPCG Scheme

EPCG means Export Promotion Capital Goods Scheme.

The scheme allows import of capital goods at concessional or zero customs duty.

Purpose:

- Encourage technology improvement.
- Modernise industries.
- Increase production efficiency.

Capital goods include:

- Machinery.
- Production equipment.
- Manufacturing technology.

The exporter is required to fulfil export obligation after receiving benefits.

5. DFIA Scheme

Duty Free Import Authorisation (DFIA) is an export replenishment scheme.

Purpose:

It allows exporters to import inputs required for export production without payment of Basic Customs Duty after fulfilment of export obligations.

Inputs include:

- Raw materials.
- Fuel.
- Oil.
- Packaging materials.

DFIA helps exporters reduce costs and maintain competitiveness in international markets.

Basis	Advance Authorisation Scheme	EPCG Scheme	DFIA Scheme
Full Form	Advance Authorisation	Export Promotion Capital Goods Scheme	Duty Free Import Authorisation
Main Purpose	To import raw materials/inputs required for export production	To import capital goods (machinery/equipment) for improving production	To import inputs used in export products after meeting export obligation
Type of Import	Raw materials and components	Machinery, equipment, production technology	Raw materials, fuel, oil, packaging materials
Duty Benefit	Import of inputs without payment of customs duty	Import of capital goods at zero or concessional customs duty	Duty-free import of inputs after export obligation is completed
When Benefit is Received	Before manufacturing exports	Before installing machinery and production improvement	After fulfilling export obligation
Export Obligation	Exporter must use imported inputs in export products and complete exports	Exporter must achieve prescribed export obligation within given period	Exporter first completes exports, then uses DFIA benefit
Focus Area	Reducing cost of production	Technology upgrade and industrial modernisation	Replenishment of inputs after exports
Example	A garment exporter imports duty-free fabric and accessories to make shirts for export	A textile company imports advanced weaving machines at concessional duty	A footwear exporter who exported shoes gets authorisation to import leather

			and packaging materials duty-free
Benefit Receiver	Manufacturing exporters	Exporters who need machinery upgrade	Exporters who have already completed export requirements

6. SCOMET Policy

SCOMET stands for Special Chemicals, Organisms, Materials, Equipment and Technologies.

SCOMET is India's export control classification system for goods, software and technologies having dual-use capabilities.

Purpose:

- Control export of sensitive technologies.
- Prevent misuse of advanced goods.
- Regulate defence-related and strategic items.

It covers advanced electronics, aerospace components, biological agents, toxic chemicals and specialised nuclear equipment.

SCOMET aligns Indian export controls with international regimes such as MTCR, Wassenaar Arrangement, Australia Group and NSG.

7. Digital Initiatives Under FTP 2023

Important digital reforms include:

- Online DGFT services.
- Electronic filing.
- Paperless approvals.
- Digital certificates.
- Common digital platforms.

8. Towns of Export Excellence (TEE)

Meaning:

FTP 2023 recognises certain towns with strong export performance as Towns of Export Excellence. These towns receive support to improve export infrastructure and promote their specialised products globally.

Objectives:

- Promote local exporters and industries.
- Improve export facilities and infrastructure.
- Encourage MSMEs and traditional industries.

Examples of Towns of Export Excellence:

Town	State	Famous Export Product
Moradabad	Uttar Pradesh	Handicrafts and brassware products
Tiruppur	Tamil Nadu	Knitwear and textile garments
Surat	Gujarat	Diamonds and textiles
Kanpur	Uttar Pradesh	Leather products
Srinagar	Jammu & Kashmir	Handicrafts, carpets and shawls

Example:

Tiruppur is known as the "Knitwear Capital of India" because it exports large quantities of garments worldwide. Under TEE, such towns receive support to strengthen their export activities.

9. Districts as Export Hubs (DEH)

Meaning:

FTP 2023 aims to develop every district as an export centre by identifying products that have export potential and providing support to local producers.

Objectives:

- Increase exports from Indian districts.
- Promote local products in international markets.
- Support artisans, farmers and MSMEs.

Examples of District Export Hubs:

District	State	Export Product
Varanasi	Uttar Pradesh	Silk sarees and handicrafts
Mysuru	Karnataka	Silk products and handicrafts
Kashmir region districts	Jammu & Kashmir	Pashmina shawls and handicrafts
Alappuzha	Kerala	Coir products
Darjeeling	West Bengal	Tea

10. Amnesty Scheme for Defaulting Exporters

Meaning:

FTP 2023 introduced an amnesty scheme to provide relief to exporters who failed to fulfil export obligations under certain schemes.

Objectives:

- Reduce old pending export cases.
- Help exporters settle outstanding liabilities.
- Encourage compliance with trade rules.

Benefits:

- One-time settlement opportunity.
- Reduction in penalties and legal complications.

Amnesty Scheme for Defaulting Exporters

The Amnesty Scheme was introduced under Foreign Trade Policy (FTP) 2023 to provide a one-time opportunity to exporters who had failed to fulfil their export obligations under schemes like EPCG and Advance Authorisation. Normally, when exporters receive duty benefits, they must complete a certain level of exports within the prescribed period. If they fail, they have to pay back the duty amount along with interest and penalties. The amnesty scheme allows such exporters to settle their pending cases by paying the required amount with relief from additional penalties and legal actions.

Why was the scheme introduced?

Many exporters were unable to complete export obligations due to reasons such as:

- COVID-19 disruptions.
- Global economic slowdown.
- Supply chain problems.
- Changes in international market demand.

As a result, thousands of export obligation cases remained pending.

The government introduced this scheme to clear old cases and help exporters restart their businesses.

11. Recognition of Exporters

Meaning:

FTP 2023 provides recognition to exporters based on their export performance.

Objectives:

- Encourage exporters to increase international trade.
- Reward successful exporters.
- Promote India's export growth.

Benefits:

- Exporters receive status recognition.
- Easier access to certain trade benefits and support.

12. E-Commerce Export Promotion

Meaning:

FTP 2023 encourages exports through online platforms and digital marketplaces.

Objectives:

- Support small exporters in global markets.
- Promote online international trade.
- Increase participation of MSMEs.

Measures:

- Simplification of export procedures.
- Digital support for e-commerce exporters.